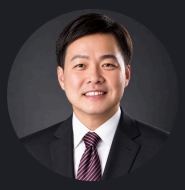
JASON CHOI
REAL ESTATE

FREE GUIDE

GROCERY STORE BUYER'S GUIDE

Buying a Grocery Store: Step-by-Step

For independent, banner-affiliated and specialty / ethnic grocery stores in Alberta and British Columbia.



Jason Choi 최재봉

REALTOR® since 2007 · Licensed in Alberta & BC

First Place Realty (AB) · Maple Supreme Realty Inc. (BC)

(403) 399-8124 · CalgaryJason@gmail.com

jasonchoirealestate.com · English · 한국어

Overview

A grocery store combines a lease or property with a fast-moving business: perishable inventory, food safety permits, supplier and banner agreements, refrigeration and often a large staff. A typical purchase takes **90–180 days**.

	Asset purchase (most common)	Share purchase
What you buy	Land and building (if owned), equipment, goodwill, name, licences (re-applied)	The company that owns the business
GST	5% unless a Section 167 election is filed	No GST on shares
BC Property Transfer Tax	Applies to real property	Generally does not apply
Past liabilities	Stay with the seller	Transfer to you
Seller tax benefit	—	Seller may use the $1.25M Lifetime Capital Gains Exemption

Types of Grocery Stores

Type	What to know
Independent	Full control of pricing and suppliers; value depends on the business itself
Banner-affiliated (e.g., IGA)	Supply and marketing through the banner; the banner must approve the transfer; supply terms are key
Co-op affiliated	Membership and board approvals can apply
Specialty / ethnic	Strong loyal customers; specialty sourcing and owner relationships matter — plan the transition carefully

Phase 1–2 · Criteria and Screening

Measure	Typical range	What it tells you
Gross margin	About 20%–30% (varies by department)	Deli, bakery and prepared foods are higher; dry grocery is lower
EBITDA margin	About 3%–8% of sales	Grocery is high volume, low margin
Sales per sq.ft.	About $300–$800 a year	Efficiency

Shrink (waste + theft)	About 1.5%–4%	High shrink points to management problems
Labour cost	About 18%–28% of sales	Higher in unionized stores
Inventory turns	About 12–20 times a year	Low turns = excess or old stock
Valuation	Often about 2.5x–5x normalized EBITDA, plus inventory	Depends on lease, banner and market position

These are general ranges only. Your accountant should verify the actual numbers.

Phase 3–4 · NDA, Information and Offer

- Sign an NDA, then request: 3 years of financial statements, monthly sales by department, POS reports, GST returns, the lease, supplier and banner agreements, staff list and equipment list.
- Ask your REALTOR® to quietly check the landlord's history on lease assignments early.
- Your offer (LOI) should cover price, inventory method, conditions, training period and closing date.

Phase 5 · Purchase Agreement

Inventory — the critical clause

Topic	Typical approach
Count	Joint count 1–3 days before closing; use an independent counting company for large inventories
Perishables	At seller's invoice cost, only with enough remaining shelf life; expired items excluded
Dry grocery and general merchandise	At cost; buyer may exclude discontinued or slow-moving stock
Tobacco, lottery, liquor	Separate schedules and regulator rules
Cap and floor	Set a maximum and minimum inventory value to limit surprises
Settlement	Agree the total within a set time and adjust on the closing statement

Conditions to include

- Financing
- Satisfactory financial, equipment and food-safety due diligence
- Landlord consent to assign the lease
- Banner / supplier approval (if affiliated)

- Liquor licence (if applicable)
- Review of supplier and service contracts

Phase 6 · Equipment and Building

Equipment	Key concerns
Walk-in coolers and freezers	Compressor age (15+ years = replacement risk), refrigerant type (older R-22 systems need conversion), doors, drains, temperature monitoring
Display cases (dairy, deli, produce, frozen)	Compressors, defrost, gaskets, energy use
Central refrigeration plant	Condition, refrigerant rules, service records
HVAC	Age and capacity (refrigeration adds heat)
Deli, bakery and meat equipment	Ovens, slicers, saws, hoods, food-safety layout
POS and self-checkout	Age, payment security, owned or leased
Building	Roof, loading dock, parking, electrical capacity

Budget about $3,000–$8,000+ for a refrigeration and equipment inspection. See my **Restaurant Equipment Checklist** for a detailed format.

Phase 7 · Financial and Contract Review

- Sales by department and gross margin trends for 3 years
- Bank deposits and GST filings compared with sales
- Shrink reports and waste logs
- Payroll, scheduling and union agreement (if any)
- Supplier, banner, flyer and private-label terms
- Rebates and allowances — are they transferable?
- Lease: term left, renewals, rent increases, exclusive-use clause
- Food safety inspection history — repeat violations are a red flag

Phase 8 · Licences and Approvals

Item	Notes
Banner / supplier approval	Start right after signing; may include fees and store upgrades

Food establishment permit	New operator permit and inspection from the local public health authority
Liquor (if applicable)	Alberta: liquor sales need an AGLC retail licence with specific rules. BC: LCRB rules apply. Allow 60–120+ days.
Tobacco and lottery	New retailer registrations
Municipal business licence, WCB / WorkSafeBC, GST, payroll	Open accounts for the new owner

Phase 9 · Financing

Option	Notes
Commercial mortgage (if you buy the property)	Often 60%–70% loan-to-value; debt coverage 1.25x+
Business acquisition loan	For goodwill and equipment; shorter terms, higher rates
BDC	Supports food retail; business plan needed
Credit unions	Often flexible for independent grocers
Canada Small Business Financing Program	Government-backed bank loans for equipment, leasehold improvements and some other costs — ask your bank for current limits
Vendor take-back	Seller finances part of the price
Inventory line of credit	Important — grocery stores need ongoing cash for inventory

> **⚠ Working capital**
>
> Many first-time buyers underestimate cash needs. A mid-size store may carry $150,000–$350,000 of inventory at any time. Inventory is usually paid **in addition to** the purchase price. Keep a separate reserve for the first months.

Phase 10 · Closing and the First 90 Days

- Final inventory count and settlement
- Keys, alarm codes, POS and supplier logins
- Staff meeting and retention of key department managers
- Supplier accounts and credit terms
- Food safety training and temperature logs from day one
- Review pricing, flyer and margin by department

Red Flags

Red flag	What to do
Gross margin falling across several departments	Investigate; may justify a lower price
Landlord known for refusing assignments or raising rent	Check early
Repeat food-safety violations	Systemic problems transfer with the business
Union agreement expiring soon after closing	Price in the next agreement
Shrink above about 3.5%	Ask why; review controls
Sales not supported by deposits and GST filings	Rely only on verified numbers

Typical Buyer Costs

Item	Estimate
Lawyer	$8,000 – $20,000+
Accountant	$3,000 – $15,000+
Equipment / refrigeration inspection	$3,000 – $8,000+
Business valuation (if needed)	$4,000 – $10,000
Lender appraisal (if property)	$3,500 – $8,000+
BC Property Transfer Tax (asset purchase with property)	1%–3% tiers on the property value
GST	5% unless a Section 167 election applies
Inventory at closing	Often $150,000 – $600,000+, paid separately
Working capital reserve	Often $50,000 – $200,000+

Looking for a grocery or convenience store?
I have helped buyers with grocery, convenience, liquor and gas station purchases across Alberta. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**. English and 한국어.

General information only. Not legal, tax, financial or food-safety advice. Ranges are general indicators, not appraisals. Retain qualified professionals before signing any agreement. Prepared by Jason Choi, REALTOR®, First Place Realty. Updated November 2026.